

UNIT SEVEN

RIGHT OF RECOVERY AND RESTRICTIONS ON THE RIGHT TO TRANSFER CERTAIN THINGS

RIGHT OF RECOVERY

DEFINITION

Right of recovery is a right of a person to recover a thing sold by an owner from the buyer by paying the price and costs the latter has incurred. See Art **1386 of the Civil Code**. In other words, right of recovery is a right where by its beneficiary can force the buyer of a thing to sell it to him.

Reasons behind right of recovery

- The right of recovery is intended to keep things within a certain group of persons, such as a family or joint owners.
- It is intended to keep the thing among persons having a blood relationship because of the economic or social value immovable things have among the society.
- It is also intended to keep a property among persons who have close relationship, in cases of joint owners, and keep strangers out there by securing peace and co-operation. Allowing strangers to acquire a share in a jointly owned thing may create problems in the administration of the thing, as almost all decisions have to be made by majority or unanimous vote of joint owners, which may become very difficult if a person who does not get along with the joint owners allowed to acquire a share in such things.

Sources of right of recovery

This right is always the result of legal provisions. Therefore, this right may not arise from contract, will or any other source. Furthermore, it is a right personal to the beneficiary and hence cannot be transferred to another person, nor can creditors of the beneficiary exercise it on his behalf. See Arts 1387 and 1397 of the Civil Code.

PERSONS ENTITLED TO RIGHT OF RECOVERY

- 1) **Relatives by consanguinity**: According to **Arts 1389 and 1394/2/** of the Civil Code relatives by consanguinity of the seller of an immovable thing have the right to force the purchaser of such immovable, against payment of the price he has paid, to sell it to them. In other words, the beneficiary of right of recovery may, against payment of the price and other costs, recover an immovable from a person who has bought it from a seller who is their blood relative. See also **Arts 1124 and 1125** of the code.

Such right shall be exercised **according to the degree of relation they have with the seller**. Hence, persons who have a **first-degree relationship** with the seller have a **priority right** over those having a second-degree relationship. See Art 1391 and 842-851 of the Civil Code. Where the beneficiaries have **the same degree of relationship**, they shall exercise the right of recovery together and shall become **joint owners** of the immovable recovered. See Art 1393 of the Civil Code. However, **among persons who are in the same degree of relationship, those who live on the land or participate by their personal work in its exploitation are given priority over others**. See Art 1392 of the Civil Code.

Furthermore, Art 1396 excludes right of recovery of relatives where the immovable transferred is situated in urban area/ town planning area/ or where it mainly consists of a dwelling house or some other building. These provisions also imply that the right of recovery relatives under is limited to cases where **rural farmland communally held** by a family/ rest land/ is transferred.

Furthermore, only relatives from the paternal line have a right of recovery on an immovable which descended from the **paternal line** and only those from the **maternal line** can exercise a right of recovery on an immovable descending from the maternal line. See **Arts 1390 and 849** of the Civil Code.

- 2) **Joint Owners shall have a right of recovery where one of the joint owners sells his share of right in thing jointly owned**. See Art 1260, 1261, 1388 and 1394 of the Civil Code. Joint owners exercise their right of recovery jointly and acquire equal rights in the share recovered. However, where one or more of the joint owners are not willing to exercise a right of recovery, such right shall accrue to the other joint owners. See Arts 1393 and 1262 of the Civil Code.

CONDITIONS FOR THE EXERCISE OF RIGHT OF RECOVERY

- **In case of transfer of share in joint owners**, beneficiary of a right of recovery must declare his intention to buy the thing or usufruct **within two months from the date he is informed of the transfer** of ownership or usufruct to a new owner or usufructary, (if he is notified). See Art 1400. However, **if he is not notified**, then he may exercise his right with in a **period of one month from the date the joint owners knew of the transfer**.
- **In case of transfer of immovable from relatives in consanguinity**, the beneficiary must declare his intention to exercise his rights **within six months from the date of transfer of possession**.
- Such declaration of intention to buy/ exercise a right of recovery/ must be accompanied by **securities**, which may be in the form of pledge, mortgage or personal guarantee to secure the payment of the price and other expenses. See Art 1403.
- According to **Art 1398** of the Civil Code, a right of recovery may be exercised where the owner sells the thing or where creditors of the owner attach the thing.

In other words, the right of recovery may not be exercised where the owner **transfers the thing gratuitously**, for instance, where the owner **donates the thing**. However, Art 1407/1/ indicates that right of recovery may be exercised even where the thing is transferred without consideration. Furthermore, excluding right of recovery in cases where the thing is transferred gratuitously will also be against the purpose of granting right of recovery discussed above. Hence, it does not seem that the legislator intended to exclude right of recovery in such cases.

A right of recovery cannot be exercised in the following circumstance;

1. **Where the buyer is himself a beneficiary of right of recovery**, i.e., where the property is sold to a blood relative of the seller or a joint owner. See Art 1395 and Arts 842-851 of the Civil Code.
2. **Where the immovable sold is situated in a town planning area or it consists mainly of a dwelling house or building**. This prohibition particularly applies in cases of the right of recovery of relatives. See Arts 1535, 1536 and 1396 of the Civil Code.
3. **Where the thing is expropriated**. According to Art 1399 of the Civil Code, a beneficiary of a right of recovery cannot force a public authority or any other organ that has a power to expropriate private property for public purposes. See Also Arts 1460-1488.

EFFECT OF RIGHT OF RECOVERY

The new owner or usufructuary shall transfer the thing or usufruct to the beneficiary of right of recovery up on of **receipt of the price** where he **acquired the thing for consideration or the value of the thing** where he acquired the thing on donation. See Arts 1406, 1407, 1408 and 1409 of the Civil Code.

The person who is forced to transfer a thing to the beneficiary of right of recovery shall also have the right to be reimbursed with;

- Expenses of purchase and legal interest. /Art 1408/1/
- Legal interest on the price or value of thing from the date of payment of the price and or incurring of expense. /Art 1408/2/

LOSS OF RIGHT OF RECOVERY

The right of recovery shall be extinguished where the beneficiary fails declare his intention to exercise his right, to recover the thing, within two months from the date when he is informed of the transfer of ownership or usufruct, if he was informed, or within one month form the date he knew of the transfer, where the beneficiary is a joint owner. See Art 1401/1/ of the code.

Relatives who have a right of recovery shall lose their right where they fail to declare their intention to exercise the right within a period of six months from the date they knew of the transfer. See Art 1401 (2) of the code.

PROMISE OF SALE AND RIGHT OF PRE-EMPTION

DEFINITION AND REQUIREMENTS FOR VALIDITY

These restrictions are contractual, and they may be broadly classified in to three sections, i.e., promise of sale, right of pre-emption and prohibition of assignment or attachment of certain things.

A Promise of Sale- is a contract where by the owner of a thing undertakes to sell it to the promisee or another person specified if and when the promisee or such other person decides to buy it. **(See Arts 1410 (1), 1416 and 1417).** A promise of sale, constitutes a restriction on the right of the promisor / the owner/ to dispose of the thing because he is obliged to sell the thing, at the price fixed in the agreement creating the promise, only to the beneficiary of such right and when the latter wishes to buy it. In other words, the owner cannot sell the thing to another person who might have offered a better price, nor can he refuse to sell the thing to the beneficiary of the promise, which, an owner under normal circumstances is entitled to do, provided that the beneficiary has made his decision to buy the thing with in the time agreed up on the contract.

Right of pre-emption

Right of Pre-emption, on the other hand, is a right arising out of a contract where by the owner of a thing is obliged to sell it to a specified person if and when he/the owner/ decides to sell it. (See **Arts 1410(2) and 1418**). Though the owner has the right not to sell the thing, his right to sell thing to any person who comes up with the best deal ceases to exist with the conclusion of the contract creating right of pre-emption in favor of the beneficiary. In other words, if the owner decides to sell the thing with in the period agreed up on in the contract, he can sell it only to the beneficiary and at the price determined in the contract and his right to chose among potential buyers is restricted.

Promise of sale and Right of pre-emption represent applies on immovable and special immovables

Promise of sale and Right of pre-emption represent a restriction on the right of ownership of a person and a property right of the beneficiary of the rights only if they are made in relation to immovable things or special movable things in respect of which there is a requirement of registration.

In other words, contracts creating these restrictions in relation to chattels or ordinary movable things shall not constitute a restriction on a right of ownership of a person nor a property right /real right or right in-rem/ in favor of the beneficiary. Hence, the rights and duties arising from

these contracts are governed by the law of contracts or obligations and not by property law. See Art 1411, 1426, 1427, 1428 and 1430 of the Civil Code.

Thus, therefore, restriction recognized and enforced under property law, **apply to immovable things and special movable things** in respect of which the law requires registration. In addition to this, contracts creating promise of sale or right of pre-emption shall not be valid unless:

- they are **made in writing**, and
- unless they **specify the time with in which the right is to be exercised**,
- **the price for which the beneficiary of the right may purchase the thing** and
- They are **registered in the register of the property concerned**. See Arts 1412, 1422 and 1423 of the Civil Code.

Furthermore, the period with in which such right may be exercised **cannot exceed a period of ten years**. Where the period fixed in the contract exceeds ten years, it shall be reduced to the maximum period provided by the law, i.e., **ten years**. See Art 1413 of the Civil Code.

- ❖ The rights arising from such agreements cannot be transferred by contract or inheritance and the creditors of the beneficiary cannot exercise them. See Art 1415 of the code.

RIGHTS AND DUTIES OF THE PARTIES

A. PROMISE OF SALE

1. The maker of the promise/ the owner of the thing/ may not alienate or sell the thing or charge it with real rights /rights in-rem/ such as usufruct in the period for which the promise is effective. However, he may pledge or mortgage it for an amount not exceeding the price fixed in the contract creating the promise. See Art 1416

2. Where the thing is attached by court order, the owner must notify the promisee of such proceedings. (See Art 1417)

3. Where the owner sells the thing to a person other than the beneficiary, the latter shall have the right to force the buyer of the thing to sell it back to him at the price agreed up on in the contract creating the promise.

B. RIGHT OF PRE-EMPTION

1. The owner has the right to create any kind of right in-rem on the thing, but he may not sell or transfer it to another person. Where he decides to sell the thing, he has the obligation to inform the beneficiary of his intention to sell the thing and the chargers/ such as mortgage, usufruct, and servitude etc/ on the thing. See Art 1418 /1/ and/2/.

2. In case of attachment, the owner of the thing must notify the situation to the beneficiary. See Art 1418 (3)

3. The beneficiary must exercise his right within two months from the date he received the notice. However, this period of notice may be extended to a period not exceeding one year. Where the period is extended for more than a year, it shall be reduced to one year. See Art 1419.
4. The beneficiary must exercise his rights before the thing is sold by auction in case of attachment. See Art 1421.
5. In case the thing is sold to a third party in violation of the contract creating the right of pre-emption, the beneficiary may recover it from such third party against payment of the price determined in the contract creating right of pre-emption. See Art 1422.

EXTINCTION OF RIGHTS OF THE BENEFICIARY

Rights arising out of contracts creating a promise of sale and right of pre-emption shall be extinguished because of one of the following grounds,

1. Failure of the beneficiary to exercise the right within the period fixed by the contract or 10 years where no period is agreed upon in the contract. See Art 1413 of the Civil Code. The rights arising from a contract creating a right of pre-emption shall be extinguished if the beneficiary fails to exercise his right within a period of two months from date of notice given by the owner or within the period agreed upon in the contract. See Art 1419 and 1420.
2. Failure to buy the thing before it is sold by auction in case of attachment. See Arts 1417 (2), (3) 1419 (3), and 1421.
3. In cases where the thing is sold to a third party in violation of the contract, the right of the beneficiary will be lost if he fails to require such party to surrender the thing to him within six months of the date when the third party has taken possession of the thing. See Art 1425 (2)

PROHIBITION OF ASSIGNMENT OR ATTACHMENT

DEFINITION

Prohibition of assignment or attachment arises from a contract or will where by certain things are transferred and where by the transferor prohibits the transferee from assigning or transferring the thing to another person. The producer, maker, seller or owner of such thing may impose these prohibitions. See Art 1426 of the Civil Code.

Such provisions may freely be made with respect to ordinary movable things (chattels). However, such restrictions will bind only the person who accepts them and hence, it does not create a real right that can be raised against third parties. See Art 1426/2/ of the Civil Code.

Such restriction is loose due to protection of the interests of commerce are best served by granting the owner the fullest freedom to dispose of his property and free circulation of goods.

Ethiopian law also follows the approach in adopting the restriction and provides under, Art 1416 (1), that such restriction with regard to chattels will have no real effect on third parties, unless they knew of the restriction. It also tries to minimize the negative consequences of the restrictions by limiting the period for which it can be made. In other words, a provision prohibiting assignment or attachment cannot be made for indefinite period, following the approach taken by French Law.

On the other hand, such restrictions can be made on immovable things with real effects in cases expressly allowed by the law for the purpose of protection of a serious interests, for instance, keeping an immovable with in a family.

Prohibition of the right of attachment or assignment with respect to immovable things is possible only in cases allowed by the law. According to Art 1427, 1428 and 929-936 of the Civil Code, the transferor or assignor of an immovable thing or the testator may prohibit the transferor or the holder in tail from assigning an immovable to another person. He may also stipulate that the thing shall not be attached in the hands of the transferee or the holder in tail. See also Art 2460 of the Civil Code.

FORMAL REQUIREMENTS

- A provision prohibiting assignment or attachment shall be of no effect unless it is made in writing and it specifies the duration of the prohibition, which may not exceed 20 years or the life of the transferee. See Arts 1430, and 1431.
- It must also be registered in the register of immovable things where such provision is made in relation to immovable things. See Art 1432.

RIGHTS AND DUTIES OF THE PARTIES

1. A property that is subjected to a provision prohibiting assignment or attachment cannot be sold or transferred. If it is sold in violation of the provision, the person stipulating it may recover it from the buyer. See Art 1440 (2), 1442 and 1438.
2. The person making the provision may prohibit the acquirer from assigning or selling it for a period not exceeding 20 years. See Art 1431.
3. The person who made the provision prohibiting assignment has the right of recovery against the buyer. Such right has to be exercised within two years from date of the assignment or from the expiry of the period fixed in the contract. See Arts 1442 (1) and 1441.
4. In cases of attachment, the person making the provision must exercise his right prior to the attached immovable thing being sold by auction where he has been informed of the attachment. However, where he is not informed of the attachment, he must exercise his right with in a period of two years from the sale of the immovable by action. See Art 1437.